

FEDERAL MARITIME COMMISSION

DOCKET NO. 95-09

AAEL AMERICA AFRICA EUROPE LINE GMBH

v.

VIRGINIA INTERNATIONAL TRADE & INVESTMENT GROUP LLC
AND WILLIAM W. JOYCE III

ORDER VACATING INITIAL DECISION ON REMAND
AND DISCONTINUING PROCEEDING

This proceeding is before the Commission upon Exceptions to the Initial Decision on Remand ("Remand Decision") of Administrative Law Judge Charles E. Morgan ("ALJ"), served August 8, 1996, in the above-captioned complaint proceeding. For the reasons set forth below, the Remand Decision is vacated and the merits of the proceeding are decided by the Commission de novo.

BACKGROUND

Complainant AAEL America Africa Europe Line GMBH ("AAEL" or "Complainant") filed a complaint under section 10(a)(1) of the Shipping Act of 1984, 46 U.S.C. app. 1709, ("Act") alleging that Respondents Virginia International Trade & Investment Group LLC ("VITIG") and William W. Joyce III, one of VITIG's three owners, had willfully used unjust and unfair means to obtain ocean

transportation at other than the applicable rates. AAEL had charged that VITIG, a Virginia limited liability company, failed to pay freight charges on six shipments of foodstuffs to Africa, and that Mr. Joyce had fraudulently and unlawfully induced Complainant to release the cargo knowing that VITIG would not be paying. A default judgment against VITIG, the Respondent company, was entered on October 4, 1995. Complainant pursued its action, however, against the other Respondent, Mr. Joyce.

The Initial Decision, issued February 14, 1996, found that Mr. Joyce engaged in fraudulent conduct and made false representations regarding VITIG's intentions to pay the freight charges. The ALJ found Mr. Joyce personally liable and ordered him to pay \$30,599.04 in reparations. Mr. Joyce then filed Exceptions.

Upon review, the Commission determined that the Initial Decision did not reflect adequate consideration of the record. It noted that the ALJ seemingly disregarded evidence of record suggesting that Mr. Joyce, in pleading his company's cause to AAEL's agent, was relying on the assurances of his business partners, a Mr. and Mrs. Idd from Gabon. The Commission also pointed out evidence indicating that the agent knew that Mr. Joyce was not in financial control of VITIG and was at the mercy of his partners. Moreover, the Commission noted that the Initial Decision

made no reference to the Commission's Interpretive Rule governing the applicability of section 10(a)(1) to collections cases, 46 C.F.R. 571.2 ("Interpretive Rule"). That rule states that an essential element of a section 10(a)(1) violation is evidence of bad faith or deceit.

Accordingly, in its June 5, 1996, Remand Order, the Commission returned the proceeding to the ALJ "for a more complete consideration of the record and a more thoroughly and carefully considered Initial Decision."

On remand, the ALJ declared that the "principal issue now is whether or not there is sufficient evidence of personal deception and bad faith where an individual is charged with a section 10(a)(1) violation in his personal capacity." He then invited the parties to "brief the record as it now stands," in order that "the record may be considered complete." Order for Briefing re Matter of Joyce, at 2.

In its brief on remand, AAEL stated that its previously submitted pleadings provide a complete record of the factual and legal issues in the proceeding, and reiterated its contention that Mr. Joyce engaged in fraud in order to induce AAEL to relinquish its cargo. Mr. Joyce, too, repeated his claim that he was not accepting personal responsibility for VITIG's debts, and that he

was simply passing on the representations and promises of his partners, the Idds. Both AAEL and Mr. Joyce requested attorneys fees.

INITIAL DECISION ON REMAND

The ALJ issued, on August 6, 1996, his Remand Decision. After reviewing the two briefs on remand, the ALJ set forth, without discussion of the record or of the governing interpretive rule, his "Conclusions and Ultimate Findings":

The Commission on remand has made certain findings, and the parties in general rely on the existing record. Essentially, no new facts, regarding Mr. Joyce's advice to AAEL's agent, have been offered. Therefore, it is concluded and found that Mr. Joyce did not make any specific personal promises to AAEL's agent that Mr. Joyce would pay. Nor did Mr. Joyce commit any fraudulent conduct, nor any tortious conduct. Mr. Joyce is not personally liable for the \$30,559.04 of shipping charges it is concluded and found.

Remand Decision at 3. He further concluded that while the Idds were primarily responsible for the "problems," Mr. Joyce bore some responsibility in that he was their partner, and was therefore not entitled to attorneys fees. Id. at 4.

EXCEPTIONS AND REPLIES

Mr. Joyce excepts to the Remand Decision to the extent it did not award attorneys fees. He argues that the issue is not his choice of business partners, but rather that AAEL acted in bad

faith in pursuing its claim against him personally, in order to harass him until he paid VITIG's debts.

In its Reply to Exceptions, AAEL notes that Mr. Joyce, through his original counsel, chose to "assert irrelevant defenses and frivolous counterclaims and allegations against AAEL and its counsel. No doubt a considerable portion of the attorneys' fees which Mr. Joyce claims to have paid related to this [sic] arguments, which neither Judge Morgan nor the Commission found any merit to." Reply at 2. As such, AAEL argues, Mr. Joyce has no right to attorneys fees. Mr. Joyce then filed a Reply to AAEL's Reply, adducing "additional facts" with supporting documentation, most of which is already part of the record, and reiterating previous arguments.¹

DISCUSSION

A. Section 10(a)(1)

The ALJ's Remand Decision unfortunately contains even less analysis of the record and issues than the first Initial Decision. Despite the Commission's Remand Order citing the ALJ's unsupported and incomplete factual findings, the evidence of record contrary to

¹ To the extent any of Mr. Joyce's arguments and submissions are new, they are inappropriately submitted in a reply to a reply to exceptions to a second initial decision on remand, and have therefore not been considered by the Commission.

his conclusion, and his failure to acknowledge the existence of the governing Interpretive Rule, the ALJ simply reopened the proceeding, received no new evidence, and reversed himself with virtually no discussion of either the record or the law.

The ALJ's actions may have been prompted by a misperception that the Commission in remanding the case had actually reversed his earlier Initial Decision on the merits, or some of his "findings." The Remand Decision states that the "Commission on remand has made certain findings" Remand Decision at 3. This statement is erroneous, however, as the Commission made no findings. In its Remand Order, the Commission merely pointed out that the full record and the law were not adequately addressed by the ALJ. That the ALJ has now completely reversed himself in the absence of any discussion of the facts or the law has not rectified the inadequacies noted by the Commission in the first place. Rather than remand this proceeding a second time, however, the Commission has determined to vacate the ALJ's latest decision and decide the case de novo on the basis of the existing record.

As noted in the Remand Order, the Commission's Interpretive Rule clarifies that before the Commission will infer a violation of the proscription against using unjust or unfair devices or means to obtain ocean transportation at less than the applicable rates, it

would expect "evidence of bad faith or deceit." 46 C.F.R. 571.2. Where it is an individual, rather than a business entity, charged with violating section 10(a)(1), personal -- not merely institutional -- evidence of bad faith or deceit should be demonstrated. Thus, the acts of VITIG's other owners, the Idds, and the mere fact that VITIG itself has already been found in violation and a judgment entered against it, are not germane to or dispositive of the issue of Mr. Joyce's liability, in the absence of evidence indicating his own nefarious involvement.

Here, the evidence relating to Mr. Joyce's personal involvement in the controversy centers around his contacts with AAEL's agent, Kevin Shields, and his efforts to persuade AAEL to release VITIG's cargo. The August 5, 1994, telefax from Mr. Joyce to Mr. Shields contains assurances that VITIG's summer financial difficulties would be alleviated, and that efforts were being made to pay VITIG's bills, particularly in expectation of a seasonal increased cash flow. All of these assurances, however, were in the context of representations by Mr. Joyce conveying information purportedly received from his business partner, Mr. Idd, and Mr. Idd's role in the matter was acknowledged by Mr. Shields. Complainant's Exhibit 5, at 3. Nothing in the record suggests that Mr. Joyce was himself attempting to deceive or practice fraud upon

AAEL or Mr. Shields.

Nor does the record suggest that Mr. Shields was unaware that Mr. Joyce was at the mercy of his business partners. In fact, correspondence in the record indicates that Mr. Shields knew that Mr. Joyce was not in control of VITIG's financial situation and was having difficulties with the Idds. Complainant's Exhibit 6, at 2. He even helped plan strategies with Mr. Joyce, suggesting to him that he tell the Idds "this can be messy or simple, but it's in their court to decide which way we proceed in this respect." Complainant's Exhibit 7. Another letter from Mr. Shields to Mr. Joyce described conversations Mr. Shields had with his colleagues: "[W]e discussed also threatening legal action against VITIG, and trying to tie them in with this shipment, and I suppose we will have to address a letter to you (c/o VITIG, of course, as I technically am still unaware of your in-house problems with them) in this vein." Complainant's Exhibit 9, at 2. This evidence, supplied by AAEL itself, belies any argument by AAEL that it was induced to believe that Mr. Joyce was in a position to evaluate and control VITIG's finances, or that Mr. Joyce's communications with Mr. Shields constituted fraudulent representations that VITIG was ready and able to pay its debts.

In sum, Complainant has failed to meet its burden of

establishing sufficient proof of bad faith or deceit on the part of Mr. Joyce, or of otherwise using unjust and unfair means to obtain transportation at other than the applicable rates, which would support a Commission finding that Mr. Joyce was in violation of section 10(a)(1) of the Act. In fact, the record suggests that Mr. Joyce may have been duped by his partners to the same degree as AAEL was duped by VITIG.

B. Award of Attorneys Fees

The next issue is whether Mr. Joyce should be entitled to attorneys fees inasmuch as he has prevailed in this proceeding. The award of attorneys fees is within the discretion of the Commission. Were AAEL's complaint against Mr. Joyce a frivolous one, or one intended purely to harass him, without any basis or substance, then attorneys fees for Mr. Joyce might be appropriate. However, this is not the case. AAEL's pursuit of a judgment against Mr. Joyce in his individual capacity does not appear to have been frivolous or in bad faith. That AAEL ultimately failed to meet its burden of proving that Mr. Joyce willfully sought to induce AAEL to relinquish VITIG's cargo under false pretenses does not suggest that its actions were so groundless as to justify award of attorneys fees.

CONCLUSION

For the reasons set forth above, the Commission has determined to vacate the ALJ's Initial Decision on Remand, and has further concluded, on the basis of the record before it, that no section 10(a)(1) violation by Mr. Joyce has been established. Complainant AAEL has failed to meet its burden of proving that Respondent Joyce engaged in bad faith and deceit in relaying representations from his business partners to the AAEL agent. The Commission also has determined not to award Mr. Joyce attorneys fees in this proceeding.

THEREFORE, IT IS ORDERED, That the Initial Decision on Remand is vacated and the Exceptions of Respondent Joyce denied; and

IT IS FURTHER ORDERED, That this proceeding is discontinued.
By the Commission.


Joseph C. Polking
Secretary